

Calderwood Partners LLC

www.calderwoodpartners.com

June 12, 2009

Barbara Ward
Director of Operations
Garza, Leblanc and Porter

Dear Ms. Ward:

It was a pleasure to spend the last several weeks talking through the pricing questions that Garza, Leblanc and Porter is weighing, and I am writing now to set down, in terms I hope read as plainly as those conversations did, the basis on which our firm would carry the work forward, so that once you have read this letter and, *if it reflects our understanding, signed it below, there is a single document to which either of us can return should a question ever arise about what we agreed.* I have tried throughout to describe what we will do, and what we will charge for doing it, in language that claims only as much as I am confident the firm can stand behind, and if any passage here strikes you as promising more than that, I would far rather you raised it with me before you signed than let it pass unremarked.

The Question We Have Been Asked to Take Up

As I understand the assignment, Garza, Leblanc and Porter has reached the point where the way it sets and manages its prices deserves a considered look from outside, and you have asked us to give the pricing across the principal lines of the business a disciplined examination and to come back to you with a strategy you can act on. Our work will run from an orderly reading of how prices are arrived at today, through a comparison against what the market and the nearest competitors will bear, to a set of recommendations on where price can be held, where it can prudently be moved, and how the discipline for setting it might be put on a firmer footing than it now rests on. What the engagement does not extend to is the running of your commercial operation, which remains entirely yours to direct, nor to legal, tax, or accounting advice, on which you should continue to rely on the advisers who ordinarily provide it; where our analysis touches those matters, what we offer is a reasoned business view and not a professional opinion in their place.

The Manner in Which We Would Work

Our way of working is deliberate, and I hope you will find it plain in its manner rather than clever in it. We begin by listening, to you and to the people who already carry a working view of how your prices are built, and only then do we set down the small number of judgments the pricing truly turns on and build the analysis outward from those, so that every figure we eventually place in front of you can be traced back to where it came from. Where the evidence will support a firm recommendation we will give you one, and where it will support only a range or a caution we will tell you that instead, because a recommendation that outruns what we actually know is of no use to you and no credit to us.

The People Who Would Carry It

I will keep my own hand on the engagement and will read anything of consequence before it leaves the firm under our name, but the daily work would sit with three of our people whom I would ask you to come to know. *Brenda Rodriguez*, a Senior Consultant, would carry the analytical core of the assignment and own the pricing model on which the recommendations rest; *Deborah Gordon*, an Associate, would take the benchmarking and the comparison against the market, work that lives in the spreadsheets as much as in the memos; and *Mary Parker*, a Research Associate, would assemble the company and market background that grounds the whole, and would keep the sources on file so that no figure we cite is ever left without a home. You are welcome to reach me at any time, though for most day-to-day matters one of the three named here will be the quicker route to an answer.

Fee and Payment

Our fee for the engagement as I have described it is \$107,000, which covers the time of the people named above through the close of the work. We will render invoices against that amount as the work proceeds, and each will be payable within thirty days of your receipt of it. The fee covers our people and their time and not the incidental costs of the assignment, such as travel or the reproduction of materials, which we will incur only with your agreement and pass through to you at what they cost us; and should the shape of the work change materially from what this letter contemplates, I will raise the question of the fee with you and we will settle it together before any further work is done, so that nothing ever reaches you on an invoice as a surprise.

Term

The engagement would begin on June 22, 2009 and we expect it to run for something on the order of seven months, though I would ask you to treat that as an honest estimate of the work rather than a promise about the calendar, since we will regard the assignment as complete when it is genuinely done and not merely when a given number of months has passed. Either of us may bring the engagement to an end on thirty days' written notice to the other, and if you choose to do so you will owe us for the work properly performed to that point and for any costs already committed on your behalf, and for nothing beyond that.

Confidentiality

Everything we learn about Garza, Leblanc and Porter in the course of this work we will hold in confidence and use only for the purposes of the engagement. That obligation binds every member of the team, it survives the end of our work together, and it covers the fact of our involvement as fully as it covers its substance. We would ask the same of you in respect of the methods and the written materials we share with you, which represent the firm's own way of working and are meant for your use and not for wider circulation.

Limitation of Liability

We will perform the work with the care and skill you are entitled to expect of a firm engaged for it, and we stand behind what we do. We do not, however, control the commercial decisions that Garza, Leblanc and Porter will ultimately take on the strength of our advice, nor the conditions of the markets in which you price and sell, and so, save to the extent the law does not permit such a limit, our liability to you arising out of this engagement is limited to the fees paid under it.

Governing Law

This agreement is governed by the law of the state in which our firm is established, and any dispute arising under it will be determined by the courts of that state. Should any single provision of this letter be held unenforceable, the remainder of it will continue in force, unaffected.

If this letter sets out the understanding we reached, I would be grateful if you would sign one copy where indicated below and return it to me, keeping the other for your own file; once your signed copy is in my hands, Mary Parker will write to you to fix the first meetings and the initial requests for information, so that we can begin without delay.

Julie Ramsey

Managing Principal

Date: June 12, 2009

Barbara Ward

Director of Operations, Garza, Leblanc and Porter

Date: June 12, 2009